

COMP7901 (2025-26)
Homework #1 Main Points of Discussion

The following are the main points of discussion that should be addressed in a full answer to the homework assignment. The order of discussions may vary to suit your presentation.

(a) *Specific copyright works*

- **HKI accounting software** (literary work) – authors are the software engineers (likely joint authors), owner is HKI (employee work).
- **Textual content of the Document** (literary work) - author is Jacky, owner is HKI (employee work).
- **Diagrams in the Document** (artistic works) - authors are the software engineers (joint or distinctive authors depending on whether their skills and labour are separable), owner is HKI (employee work).

NB. The Document is not a compilation under copyright law. "Compilation" is a selection and arrangement of pre-existing materials created NOT in contemplation of being included in the compilation. In contrast, the textual content and diagrams of the Document not copied from elsewhere were created by their authors precisely for the Document. (Same argument applies to Specification.)

- **Specification for KLI's new software**
 - consists of textual content (literary works) and diagrams (artistic works);
 - in both cases, authors are members of the programming team (joint or distinctive), owner is KLI (employee work).

NB. While KLI's specification may be infringing for containing passages and diagrams copied from the Document, it does not necessarily mean it is not copyrightable as a whole: *Interlego*.

(b) Jacky's civil liabilities

NB. The *crucial* passages and diagrams are likely a substantial part of the Document. Hence the Copies containing these passages and diagrams are, at law, copies of the Document.

1. Copied the Document: CO, s.23

- printed the Copies (hard copies) for the KLI programming team.

NB. The copy of Document Jacky took with him upon leaving HKI is not necessarily infringing, even if it was made by him. The facts only state that Jacky is not allowed to disclose the Document to anyone outside HKI. This does not imply that Jacky is forbidden to make a copy of the Document and keep it with him.

2. Performed the textual content of the Document in public: CO, s.27

- showed on screen at the seminar certain *crucial* passages extracted from the Document;
- the programming team forms a sector of the public and seminar not in domestic/quasi-domestic setting.

NB. S.27 does not apply to artistic works (ie. diagrams).

NB. Showing on screen is NOT communicating to public. "Communicating to public" under s.28A includes broadcasting, cabling and making available to public (ie. delivering contents to the viewer's device). Showing on screen at seminar does not involve such delivery.

3. Issued copies of the Document to public: CO, s.24

- distributed the Copies to the KLI programming team;
- the Copies had not previously been distributed anywhere in the world.

4. Authorised the KLI programming team to copy: CO, s.22(2)

- told the KLI team that they were free to use the Copies in designing a new accounting software for KLI, and endorsed the specification containing all of the passages and diagrams appearing in the Copies: *CBS Songs*.

5. Distributed infringing copies of the Document in the course of business: CO, s.31(1)(c)
 - the Copies are infringing because no licence had been given to Jacky to make them: CO, s.35(2);
 - Jacky knew he did not have the licence to make the Copies for the programming team, as he knew the Document was not to be disclosed to anyone outside HKI;
 - Jacky gave the Copies to the programming team in the course of supervising them at work.
6. Possessed in the course of business an infringing copy of the Document: CO, s.31(1)(a)
 - Jacky would be liable if and only if, after giving the Copies to the programming team, he has retained a Copy for himself.
7. **[Bonus point]** Exhibited the Document to public in the course of business: CO, s.31(1)(c)
 - showing those crucial passages and diagrams on screen at the seminar is arguably exhibiting the Document in public;
 - see discussion in 2. above.

(c) Jacky's criminal liabilities

- Jacky was not involved in any of the acts under CO, s.118(1)(a)-(d).
- Jacky's distribution of Copies to the programming team is not a crime under s.118(1)(e), as his business does not involve dealing in infringing copies: s.118(10).
- Even if Jacky is still in possession of the Copies, s.118(1)(f) does not apply, as there is no evidence to show that his possession is with a view to the Copies being sold or let for hire by anyone: (1)(f)(i); or being dealt with by anyone in any trade or business which consists of dealing in infringing copies: (1)(f)(ii).
- Only remaining possibility is s.118(1)(g), under which the issue is whether Jacky's distribution of the Copies to the programming team is "to such an extent as to affect prejudicially the copyright owner do not apply to the facts".
- Assessment of prejudicial effect is governed by s.118(2AA). Given that HKI's business is in insurance and not software design and development, Jacky's

distribution of Copies containing merely passages and diagrams relating to software design would unlikely cause economic prejudice to HKI's insurance business.

- Jacky is unlikely to have any criminal liability under CO.

Common Mistakes

- Not complying with (or simply ignoring) the assignment policy.
- Mistakes/ misinterpretation of facts eg. "*... came up with a specification for the new software containing all of the passages and diagrams appearing in the Copies*" is taken to mean that the specification contains only the passages and diagrams and nothing else.
- Lumping different infringing acts together in one passage instead of analysing them separately, rendering the discussion disorganised, incoherent and unclear.
- No indication of which specific legal provision the discussion is based on eg. simply citing "s.118" in support of Jacky's criminal liabilities.
- Using US legal concepts/terms without checking if they are part of HK law eg. "derivative work", "public display right".

Fatal Mistakes

- Not bothered to understand and apply the basic legal concepts/principles discussed in lectures and simply write without thinking.
- Citing provisions without checking or reading them – including provisions that are non-existent (repealed), irrelevant, or plainly wrong.